Feature Article

Pregnancy Is Protected:

What Every Employer Needs to Know Before Making Employment Decisions

When most employers think about maternity protection, they think about one thing: 98 days of maternity leave.

That is understandable. After all, the extension from 60 days to 98 days was one of the most publicised amendments to the Employment Act 1955.

But focusing solely on the length of maternity leave risks overlooking the far more significant changes that have taken place.

Today's maternity framework is no longer merely about granting leave and paying maternity allowance. It regulates almost every aspect of the employment relationship surrounding pregnancy - from when maternity leave may commence, to when an employee may return to work, to when an employer may lawfully terminate employment, and who bears the burden of proof when a dispute arises.

Perhaps most importantly, the modern maternity framework is best understood as a balancing exercise. While the law affords pregnant employees some of the strongest statutory protections available under Malaysian employment law, it does not render them immune from disciplinary action, performance management or contractual obligations. The challenge for employers lies in distinguishing between decisions driven by legitimate business reasons and decisions that may be perceived as being influenced by pregnancy.





Pregnancy Protection Begins Before Maternity Leave Starts

Many employers assume that legal protection only begins once maternity leave commences.

That is no longer the case.

Section 41A now makes it an offence to terminate the services of a female employee who is pregnant or suffering from an illness arising out of her pregnancy, except in very limited circumstances.
Those circumstances are:

- wilful breach of a condition of the contract of service;
- misconduct; or
- closure of the employer's business.

This is a significant departure from the previous position where the prohibition was primarily tied to the period during which the employee was entitled to maternity leave.

Today, the protection begins during pregnancy itself.

A restructuring exercise, performance management process or termination decision involving a pregnant employee therefore requires considerably greater care and documentation than many employers appreciate.

The Burden Has Shifted



Perhaps the most significant amendment introduced by Parliament is not the prohibition itself, but the burden of proof.

Under section 41A(2), where a pregnant employee's services are terminated, the burden falls on the employer to prove that the termination was not because of the pregnancy or an illness arising from the pregnancy.

This is a remarkable departure from the usual legal position where the party making an allegation bears the burden of proving it.

In practical terms, this means timing matters.

If performance concerns suddenly surface after the employee announces her pregnancy, questions will inevitably be asked.

If a redundancy exercise disproportionately affects a pregnant employee, employers should expect scrutiny.

The legal question is no longer simply whether the employer had a reason to terminate. The question is whether the employer can prove that pregnancy played absolutely no part in the decision.

The importance of this distinction can be seen in *K Kavitha Krishnan v Aetins Sdn Bhd [2016] 1 ILR 156*. There, the Industrial Court held that the dismissal was without just cause or excuse after finding that the misconduct allegations relied upon by the employer were not proven and that the disciplinary process itself was fundamentally flawed. Significantly, the Court drew the inference that the employer appeared to be attempting to remove the employee before she could proceed on maternity leave and enjoy the maternity benefits that would otherwise have become payable. The Court was particularly critical of what it regarded as an attempt to deprive the employee of maternity benefits through a hurried and defective disciplinary process. The case serves as a cautionary reminder that where disciplinary action coincides with pregnancy or impending maternity leave, employers must be able to demonstrate that the process is genuine, procedurally sound and supported by evidence independent of the employee's pregnancy.



The message for employers is clear:

protect pregnancy, but do not compromise on misconduct or contractual obligations. The difference is not only legally important but also essential for maintaining fairness in the workplace.

Pregnancy Does Not Mean Immunity



One of the biggest misconceptions surrounding maternity protection is that a pregnant employee cannot be disciplined or terminated.

That is Incorrect.

Pregnancy is protected. Misconduct is not.

- Fraud remains fraud.
- Dishonesty remains dishonesty.
- Wilful breach of contract remains a valid ground for termination.

The legislation itself expressly recognises these exceptions.

This principle is not new. In *LRC (Malaysia) Sdn Bhd v Navamani A/P Selliah [1992] 1 ILR 494* the Industrial Court upheld the dismissal of a pregnant employee who had been continuously absent from work without notifying her employer or providing a satisfactory explanation for her absence. The Court held that pregnancy did not excuse compliance with ordinary contractual obligations relating to attendance and communication. The case illustrates an important principle that remains relevant today: while pregnancy attracts significant statutory protection, it does not relieve an employee from complying with workplace rules and contractual obligations.

Read together, ***K Kavitha Krishnan*** and ***Navamani*** both illustrate the same principle from opposite directions. Pregnancy is protected, but it is not a shield against legitimate disciplinary action. What the law demands is that employers act for genuine reasons, through a fair process, and not because of the pregnancy itself.

K Kavitha Krishnan v Aetins Sdn Bhd [2016] 1 ILR 156

The Industrial Court emphasised that employers must not use disciplinary processes as a tool to deprive employees of their maternity benefits.

LRC (Malaysia) Sdn Bhd v Navamani A/P Selliah [1992] 1 ILR 494

The Industrial Court confirmed that pregnancy does not excuse an employee from complying with workplace rules and contractual obligations.

Protection May Continue Beyond Maternity Leave



Most employers assume that protection ends once maternity leave expires.

Again, the law is more nuanced.

Section 42 prohibits termination where an employee remains absent from work because of an illness certified by a registered medical practitioner to arise from her pregnancy or confinement and which renders her unfit for work.

This protection may continue for up to ninety days after the expiry of the maternity leave period.

The practical implication is important.

Employers should be slow to initiate termination proceedings against employees who continue to suffer pregnancy-related medical complications after maternity leave has ended.

A proper assessment of the medical evidence should always come first.

Interestingly, the wording of section 41A also raises a broader question. While it is clear that an illness arising out of pregnancy can begin during pregnancy itself, such illnesses may sometimes continue long after confinement. It is unlikely that Parliament intended pregnancy-related protection to continue indefinitely. A sensible reading would therefore suggest that sections 41A and 42 must be read together, with the protection extending through pregnancy, maternity leave and the limited statutory period of 90 days where certified medical complications persist.

Employees Have Obligations Too



Part IX is often discussed as a collection of employee rights.

Far less attention is given to the obligations imposed on employees.

For example:

- An employee who is about to leave employment and knows or has reason to believe she will be confined within four months must notify her employer of her pregnancy.
- An employee is generally required to notify her employer within sixty days before her expected confinement and specify when she intends to commence maternity leave.
- Persistent refusal to undergo medical treatment provided free by the employer and certified as necessary in connection with the pregnancy may result in the forfeiture of up to seven days' maternity allowance.

These provisions serve as a reminder that maternity protection is intended to operate as a balanced framework rather than a one-sided set of obligations imposed solely on employers.

The importance of proper notification can be seen in ***Nasliyana Abdul Samat v Malaysian Airline System Berhad [2018] 3 ILR 109***. There, the employee contended that her dismissal contravened the maternity provisions of the Employment Act. The Industrial Court rejected that argument after finding that she had neither applied for maternity leave nor notified the employer that she was commencing maternity leave prior to her dismissal. As such, the employer was not found to have breached the maternity leave provisions then in force. Nevertheless, the Court ultimately held that the dismissal was without just cause or excuse because the employee was experiencing a difficult pregnancy and a reasonable employer ought to have taken her medical circumstances into account before imposing the ultimate sanction of dismissal. The case serves as a reminder that maternity-related disputes often involve not only questions of statutory entitlement, but also broader considerations of reasonableness and fairness.



The Return-to-Work Puzzle: Must Employers Pay Both Wages and Maternity Allowance?



One of the lesser-known changes introduced in 2022 relates to an employee's ability to return to work during maternity leave.

Prior to the amendment, the circumstances in which a female employee could return to work before the expiry of maternity leave were considerably more limited and largely confined to situations where she was not entitled to paid maternity leave. The amendment now permits a female employee to return to work during the eligible period, with the employer's consent and medical certification, regardless of whether she is entitled to maternity allowance. Section 37 now permits a female employee to resume work during her maternity leave provided:

- she is certified fit to return to work by a registered medical practitioner; and
- the employer consents.

This provision affords employers and employees greater flexibility in managing the return-to-work process.

The amended section 37(1)(aa) may give rise to the unusual possibility that an employee who returns to work during maternity leave remains entitled to maternity allowance whilst also becoming entitled to wages for work performed. Whether the courts will ultimately adopt this interpretation remains to be seen, but employers should be aware that the legislation does not presently provide any mechanism for reducing, suspending, or offsetting maternity allowance in such circumstances.

A Final Thought

The biggest mistake employers make is treating maternity protection as an administrative exercise.

It is not.

It is a **risk management** exercise.

The most difficult maternity disputes rarely arise because an employer intended to discriminate. They arise because a perfectly legitimate business decision was poorly timed, inadequately documented or insufficiently justified.

The law today protects not only maternity leave, but the **broader employment relationship** surrounding pregnancy.

For employers, the question is therefore no longer simply **whether a decision can be made.**



The real question is whether the organisation can **prove that the decision would have been made even if the employee had never been pregnant at all.**